MainBank AG - Risk Assessment Checklist (financial indicators and warning signs)

Synthetic demo document for the FUTURY Build Days #4 Knowledge Transfer challenge. MainBank AG, its customers and all figures are invented.

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1. Purpose and scope

This checklist supports the credit analyst in preparing the credit memo (Kreditvorlage, form KV-02) for corporate customers. It is aligned with the Credit Policy for Corporate Customers (Version 2, credit-policy-2025-v2) and applies from 2025-07-01 to every new request, increase, prolongation and annual review.

The checklist does not replace the Credit Policy. Where the policy sets a hard threshold, the checklist shows the same number. Where the checklist adds an indicator that the policy does not regulate (for example the EBITDA margin or the current ratio), the indicator is an analysis aid and a red score alone is not a policy deviation.

2. How to use the checklist

Every item in sections 3 to 6 is scored green, amber or red in the KV-02 in KreditPortal. The analyst writes the actual value, the score and a one-line comment for each item. The scoring rule is:

- Green: the indicator meets the target with a margin.
- Amber: the indicator is at or close to the threshold, or the information is incomplete.
- Red: the indicator breaches the threshold or a warning sign is present.

If two or more items are scored red, the credit memo must propose mitigants (additional collateral, covenants, reduced amount, shorter term, conditions precedent) or recommend a decline. A memo with two or more reds and no mitigants cannot be submitted for decision. Any red that is also a policy threshold additionally requires form EXC-REQ under the Credit Policy.

3. Financial indicators

The indicators are calculated from the latest annual financial statements and, for exposures above EUR 1.0 million, cross-checked against the current interim figures (BWA).

- Equity ratio (Eigenkapitalquote): green at or above 30%, amber between 20% and 30%, red below 20%. The policy minimum is 20%.
- EBITDA margin: at least 8% of revenue. Below 8% is red.
- Debt/EBITDA after the new facility: at most 3.5x. Above 3.5x is red.
- DSCR (Kapitaldienstfähigkeit): at least 1.20. Below 1.20 is red.
- Interest coverage (EBIT divided by interest expense): at least 3.0. Below 3.0 is red.

- Current ratio (current assets divided by current liabilities): at least 1.2. Below 1.2 is red.

Example: a borrower with an equity ratio of 28%, an EBITDA margin of 11.3%, debt/EBITDA of 2.7x and a DSCR of 1.4 scores amber on the equity ratio and green on the other three indicators.

4. Customer concentration

- Largest single customer: at most 25% of revenue. Above 25% is red.
- Top three customers together: at most 60% of revenue. Above 60% is red.

If either item is red, the Credit Policy requires a risk note and a sensitivity analysis (loss of the largest customer) in the KV-02. The analyst records the contract term, indexation clauses and the collateral assigned on the receivables of the concentrated customers.

5. Seasonal businesses

Businesses whose liquidity depends on a few invoicing dates per year (for example mechanical engineering with acceptance-based invoicing, agriculture, tourism) are assessed with two additional items:

- A 12-month liquidity plan prepared by the customer, month by month, showing the use of the working-capital line.
- A comparison of each quarter with the same quarters of the previous three years (revenue, liquidity, drawn amount of the working-capital line).

The item is green when the plan is available and the current quarter is within the pattern of the previous three years, amber when the plan is missing or the pattern is unclear, red when the current quarter is clearly worse than the previous three years without an explanation.

6. Warning signs

Each of the following is scored red when present:

- Overdraft beyond the agreed limit for more than 10 days.
- Annual financial statements delivered later than 9 months after the financial year end.
- Qualification of the auditor's opinion.
- Tax or social-security arrears.
- Change of auditor without a plausible reason.

Soft warning sign (scored amber, not red): the owner or managing shareholder is older than 60 and no succession plan is documented in the file. This item was added in 2025 because unresolved succession was a factor in several problem cases. The analyst asks the relationship manager to document the succession plan or the absence of one.

7. Collateral check

The analyst confirms with Loan Operations that the lending value (Beleihungswert) of every collateral item is current and that the LTV is within the Credit Policy limits (60% for machinery and vehicles, 80% for real estate). An LTV above the limit is red and requires form EXC-REQ.

8. Documentation in the credit memo

The scored checklist is attached to the KV-02 in KreditPortal as an annex. The memo summarises the number of green, amber and red items and lists the mitigants proposed for every red. For annual reviews, the analyst compares the current scores with the previous review and comments on every item that moved from green to amber or from amber to red.

9. Responsibilities and contacts

- Risk Management, Dr. Katrin Lorenz (Head of Risk Management, Chief Risk Officer): owner of this checklist; approves form EXC-REQ where a red item is a policy threshold; receives watchlist proposals.
- Credit Analysis, Stefan Krüger (Head of Credit Analysis): ensures the checklist is applied in every memo; receives cases with two or more reds before submission.
- Credit Analysis, Dr. Petra Hoffmann (Senior Credit Analyst): applies the checklist, scores the items, drafts mitigants.
- Corporate Banking, Claudia Weber (Head of Corporate Banking): relationship managers Martin Scholz and Daniel Fischer obtain the liquidity plan, order backlog and succession information from the customer.
- Loan Operations, Sabine Neumann (Head of Loan Operations): lending values for the collateral check.
- Questions on this document: Risk Management via MainWiki, page "Risikocheckliste".